8. Under a broad class of situations, there is evidence that the distortion associated with a tax is proportional to the square of the tax rate. [2] In India, many tax rates are quite high, such as the peak rate of income tax and the peak rate of GST. Some sectors such as telecom suffer from extreme taxation. These extreme tax rates tend to increase the cost imposed upon society associated with a rupee of expenditure.

All these factors induce high inefficiencies upon the economy when the government chooses to spend Re 1. There is remarkably little work on measuring the MCPF in India. We believe that the value for India may be about 2.5 to 3.5. As a thumb rule, it is useful to reckon that the cost to society for every rupee of public spending is around Rs 3.

The notion of Marginal Cost of Public Funds brings a whole new perspective upon revenues and expenses of government. It encourages us to be very frugal in spending. We should only spend Re 1 when we are sure that the gains to society exceed Rs 3.

Example 2: Market failure in health vs a socialized healthcare system

As an example, we may think that there is a market failure based on asymmetric information and market power, when a private doctor deals with a paying customer. We may have a design for a public healthcare system through which this market failure is addressed.

But public financing, in and of itself, induces a 3× inefficiency. When money flows from the paying customer to the government, in the form of taxes, a 3× inefficiency is wired in, owing to the large marginal cost of public funds.

In addition, expenditure programmes of governments are also inefficient. Where a private person will spend Rs 100, a government organization will